



Organizational Architecture

Chapter 6

Learning Objectives

After studying this chapter, the students are expected to:

- know the concept, principles, process, importance, and approaches of organizing;
- understand the organizational architecture;
- describe the organizational architectures: vertical differentiation and horizontal differentiation;
- understand about integrating mechanism;
- examine the concept and characteristics of responsibility, accountability and authority;
- describe the concept, features, steps, advantages, and obstacles of delegation of authority;
- apply the ways of eliminating obstacles to the delegation process;
- analyse the emerging issues in organizational design.



Meaning/Concept of Organizing

Organizing is grouping the elements of an organization in the best possible manner. It is a process of defining the essential relationships among people, tasks and activities in such a way that all the organization's resources are integrated and coordinated to accomplish its objectives efficiently and effectively.



Importance of Organizing

The following are the importance of organizing.

1. Brings organizational efficiency
2. Facilitates specialization
3. Optimum use of human and other resources
4. Effectiveness in communication
5. Growth and diversification
6. Employee development
7. Establishes authority and responsibility relationships
8. Improves job satisfaction and productivity



Process of Organizing

Organizing as a process involves the following steps.

1. Determination of objectives
2. Identification and grouping of activities
3. Assigning duties and responsibilities
4. Delegation of authority
5. Coordinating activities
6. Differentiating among positions
7. Reviewing and reorganizing



Principles of Organizing

Organizing is based on certain principles. They are the building blocks of organizing. They are:

1. Specialization
2. Functional definition
3. Span of control/supervision
4. Chain of command and unity
5. Unity of goals/objectives
6. Delegation of responsibility and authority
7. Flexibility
8. Exception
9. Personal ability
10. Balance/coordination
11. Efficiency
12. Simplicity



Approaches to Organizing

There are three major approaches to organizing. They are:

1. Classical Approach
2. Behavioral Approach
3. Contingency Approach
 - a. Size of the organization
 - b. Task and technology
 - c. Environmental uncertainty
 - d. Individual differences



Concept of Organizational Architecture

Organizational architecture is the structure or system of the organization. In other words, it is the framework through which an organization operates.



Elements of Organizational Architecture

Organizational architecture has multiple elements as discussed below.

1. Organizational structure
2. Controls
3. Incentives
4. Organizational culture
5. People



Vertical Differentiation

Vertical differentiation of organization structure divides the organization according to hierarchies or layers reflected by authority, responsibility, control and communication.

Tall Organization Structure

The tall organization structure has many layers of management and a tall chain of command. Generally, larger companies with large number employees adopt tall structures.

Flat Organization Structure

A flat organization structure has fewer levels of management and wide span of control.



Horizontal Differentiation

Horizontal differentiation of organization structure relates to division of the organization into similar or parallel units or departments based on functions, divisions, places and products.

1. **Functional structure:** A functional structure groups tasks and activities by organization function, such as production/operations, marketing, finance/accounting, research and development, and management information systems.
2. **Multidivisional (product) structure:** The multidivisional structure consists of a corporate office and operating division which represents a separate business or profit center. Under this, the responsibilities for day to day operations are delegated to division managers.
3. **Geographic structure:** When an organization organizes its activities on the basis of geographical locations, it is called geographic structure. It is suitable for the organizations such as retail and hospitality, transportation and other businesses that need to be near sources of supply and customers
4. **Matrix structure:** A matrix structure includes dual lines of budget authority with dual sources of reward and punishment, shared authority, dual reporting channels, and a need for an extensive and effective communication system. It is mostly used in construction, health care, research, and defense.



Advantages of Functional Structure

The advantages of functional structure are as follows.

1. Functional specialization
2. Increase in employee efficiency
3. Direct communication
4. Simple and economical
5. Proper allocation of resources



Disadvantages of Functional Structure

The disadvantages of functional structure are as follows.

1. Multiple command: chances for conflict
2. Shifting of responsibility
3. Erosion of innovativeness
4. Difficult to identify the profitable products
5. No address to environmental dynamism



Advantages of Multidivisional Structure

The advantages of multidivisional structure are as follows.

1. Suitable for multi businesses
2. Facilitates specialization and effectiveness
3. Maintains direct attention and dynamism
4. Effective monitoring and evaluation
5. Accountable divisional manager
6. Comparison



Disadvantages of Multidivisional Structure

The disadvantages of multidivisional structure are as follows.

1. Chances of conflict
2. Lack of coordination
3. Problems in resource allocation
4. May increase complexity and cost
5. Problem of effective control
6. More interdependence



Advantages of Geographic Structure

The following are some of the advantages of geographical structure.

1. Respond the customers
2. Close communication
3. Organizational effectiveness



Disadvantages of Geographic Structure

The following are some of the disadvantages of geographical structure.

1. Requires more staff
2. Possibility of duplication
3. Economies of scale



Advantages of Matrix Structure

The advantages of matrix structure are as follows.

1. Organizational effectiveness and dynamism
2. Effective decisions and participation
3. Decrease in bureaucracy
4. Facilitates communication
5. Enhancement of team work and creativity
6. Excellence in interdisciplinary specialization



Disadvantages of Matrix Structure

The disadvantages of matrix structure are as follows.

1. Violation of unity of command
2. Costly structure
3. Problem of over specialization
4. Difficult to balance
5. Lack of coordination
6. Lack of commitment



Integrating Mechanisms

A. Formal Integrating Mechanisms

1. Centralization
2. Direct contact
3. Liaison roles
4. Teams
5. Matrix structure

B. Informal Integrating Mechanisms: Knowledge Networks



Strategy, Coordination, and Integrating Mechanisms

Strategy, coordination and integrating mechanism are closely related to each other. The degree of coordination required and the integrating mechanisms used depends on the strategy of the firm.



Concept of Responsibility

Responsibility may be defined in two ways. It is a duty or task assigned to the employees on the basis of their positions in the organization. It may also be taken as the obligation of the employees to perform their duties or tasks.



Characteristics of Responsibility

The following are the main characteristics of responsibility.

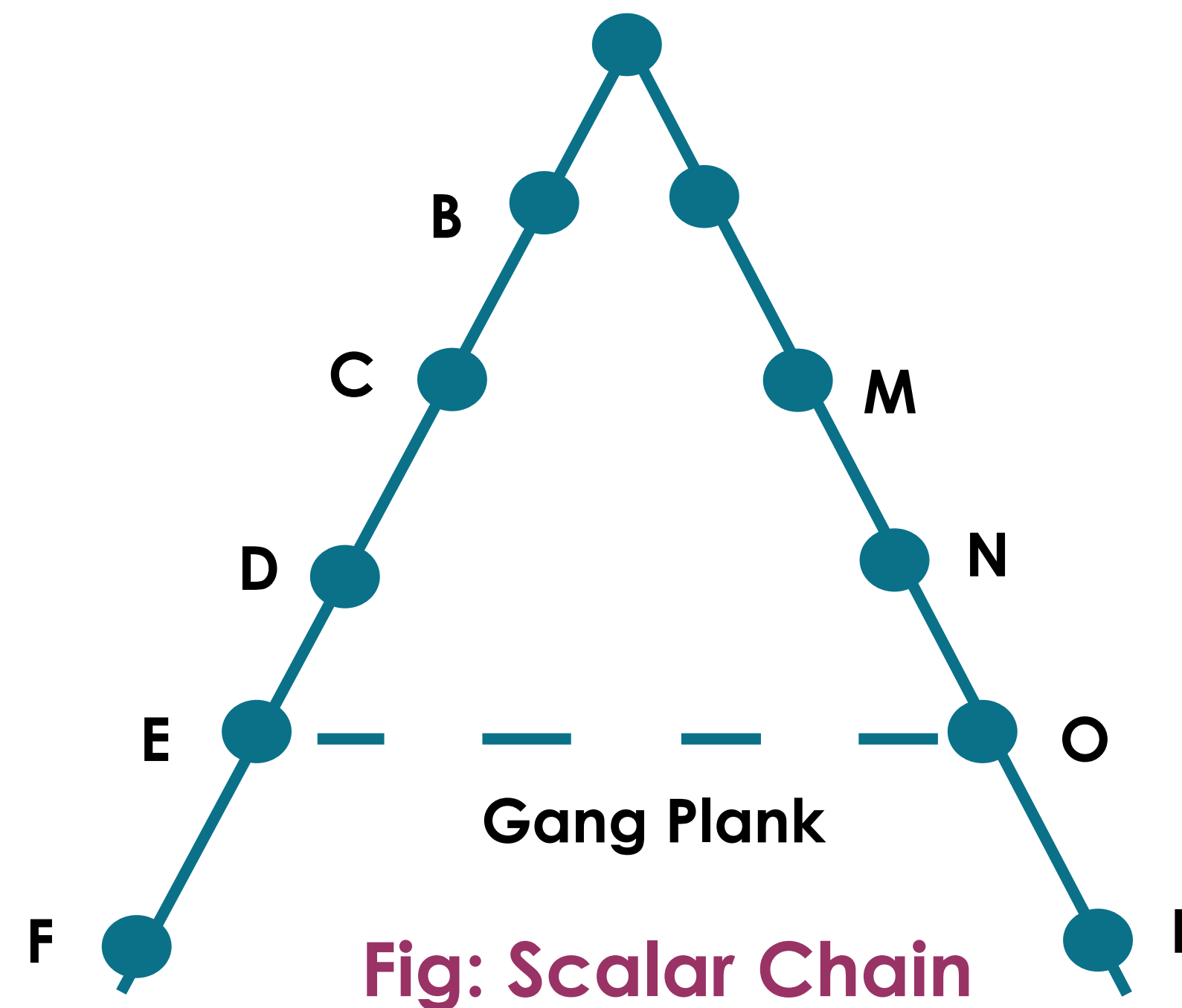
1. Can be assigned to human beings only
2. Arises from a superior subordinate relationship
3. May be one time or continuing
4. Coexists with authority
5. Cannot be delegated
6. Flows upward



Establishing Task and Reporting Relationships

The following principles of management must be followed to establish effective reporting relationship.

1. Organizational Design
 - a. Tall organizational structure
 - b. Flat organizational structure
2. Unity of Command
3. Scalar Chain



Concept of Accountability

Accountability is answerability for one's responsibility. Responsibility always involves authority and finally accountability for the performance.



Features of Accountability

The following are the features of accountability.

1. Answerability
2. No delegation
3. Upward direction
4. Ownership for consequence
5. Unity of command



Creating Accountability in Business Organizations

The following is a general procedure of creating accountability.

1. Assign responsibility
2. Set goals or expectations
3. Delegate authority
4. Measure and review results
5. Address deficiencies



Concept of Authority

Authority is a formal, institutional or legal power of a person or institution that empowers him/her/it to successfully perform the task.



Characteristics of Authority

The following are some of the notable characteristics of authority.

1. Legal or institutional
2. Has limit
3. Normally in writing
4. Commensurate with responsibility
5. Centralized or decentralized
6. Given to position



Line and Staff Authority

Line authority

Line authorities are directly responsible for achieving the objectives of an organization. They stand in the standard chain of command.

Staff authority

Staff authorities work toward supporting the line authorities. They are not a part of the chain of command.



Differences between Authority and Responsibility

Authority and responsibility are the two sides of the same coin. However, they have many differences.

Bases of Differences	Authority	Responsibility
Meaning	Authority is the legal and institutional power or right within a particular job or position such as, give orders, enforce rules, make decisions, and obtain obedience.	Responsibility is the duty or obligation to accomplish a task successfully.
Direction of Flow	Authority flows downward from the top to lower level.	Responsibility flows upward from the lower to upper level.
Objective	Authority is required to perform the organizational activities properly.	Responsibility is required to ensure that duties are executed as assigned by the upper authority.
Duration	Authority generally continues over a long period of time.	Responsibility generally ends once the task is accomplished.
Order	In authority, an order is given.	In responsibility, one has to follow the orders.
Delegation	Authority can be delegated to lower levels.	Responsibility cannot be delegated.
Results From	Authority results from the formal position in an organization.	Responsibility results from superior subordinate relationship.



Meaning/Concept of Delegation of Authority

Delegation of authority means granting of authority to subordinates to operate within prescribed rules. It refers to the flow of authority and powers downwards to the subordinate.



Features of Delegation of Authority

The following are some of the notable features of delegation of authority.

1. No delegation of total authority
2. Delegation of inherent authority only
3. Representation of the superior
4. Delegation for organizational purpose
5. Restoration of delegated authority
6. Balance of authority and responsibility
7. No delegation of full responsibility



Steps of Delegation of Authority

Delegation of authority is a process consisting of the following three steps:

1. Determination of need for delegation
2. Assignment of responsibility
3. Grant of authority
4. Creation of accountability
5. Evaluation of performance



Advantages of Delegation of Authority

The advantages of delegation of authority may be explained through the following points.

1. Reduces the workload of the managers
2. Helpful to get benefits of specialization
3. Improves motivation and productivity
4. Offers chances for training and development
5. Facilitates growth and expansion
6. Chances for quicker and better decisions
7. Offers basis of organizing



Obstacles/Barriers to Delegation of Authority

The following are the major obstacles/barriers of effective delegation of authority.

1. Reluctant to delegate
2. Fear of losing importance and control
3. Lack of proper trust
4. Inability of subordinates
5. Improper reward and motivation
6. Risk aversion
7. Authoritarian tendency



Eliminating Obstacles to the Delegation Process

The following are the major ways of eliminating obstacles to the delegation process.

1. Understand the need and objective for delegation
2. Develop confidence and motivation in subordinates
3. Develop effective communication
4. Choose right person for the right job
5. Clarify tasks through training
6. Create balance of authority and responsibility



Difference between Delegation and Decentralization of Authority

The following table shows the differences between delegation and decentralization.

Bases of Difference	Delegation	Decentralization
1. Nature	It can take place without decentralization.	It cannot take place without delegation.
2. Responsibility	It involves delegation of authority, not responsibilities.	It involves delegation of authority with responsibilities.
3. Control	The upper level controls the activities of subordinates.	Control is delegated and decentralized to the lower levels.
4. Withdrawal of authority	It can be withdrawn by the delegator at any time	It cannot be withdrawn easily.
5. Suitability	This is suitable in every organization.	It is suitable only in large organizations.
6. Parties involved	It is confined to the manager and subordinates.	It involves managers at all levels.
7. Definition	It is a technique of management.	It is a philosophy of management.
8. Relationship	It establishes relationship between manager and subordinate.	It creates semi autonomous units.



Sources of Authority, Responsibility and Accountability

The following are some of the likely sources of authority, responsibility and accountability.

1. Legal or institutional
2. Centralization vs decentralization
3. Position
4. Superior subordinate relationship
5. Tradition



Emerging Issues in Organization Design and Architecture

The following are some of the emerging issues of design and architecture.

1. Teamwork
2. Network structure
3. Decentralization
4. Organic organization
5. Restructuring and reengineering
6. Boundary less organization
7. Learning organizations



Nepalese Practices in Organizational Structure

The common practices of organizational structure in Nepal are as below.

1. Most of the Nepalese organizations tend to adopt a tall and hierarchical organizational structure. They are bureaucratic in nature with centralized authority, formalized procedures and specialized functions. This is more applicable in public enterprises. However, the private enterprises have started adopting organic structures with decentralized authority and horizontal communication.
2. The Nepalese organizations have followed traditional organizational structures such as functional, divisional, and geographic structure.
3. The responsibility, authority and accountability are not clearly defined and administered.
4. The communication flows between different levels are not smooth and spontaneous.

